STRATEGIC CAPITAL PORTAL

FARMSENSE SEED ROUND A-1

Executive Summary

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Executive Summary

FarmSense: The Deterministic Agriculture Operating System

Seed Round A-1 | $10M Raise | $26.8M Pre-Money Valuation

The Problem

Agriculture operates on **stochastic intuition** — guesswork disguised as expertise. In water-constrained regions like Colorado's San Luis Valley, this translates to:

$26,000/year in wasted water costs per pivot (based on 52 acre-foot average oversupply)

89,000 acre-feet/year aquifer depletion in Subdistrict 1 alone

Groundwater fees at $500/acre-foot — farmers hemorrhage cash on inefficiency

Water Court decisions lacking defensible, auditable data

The result: Farmers spend more on water than necessary, regulators can't enforce compliance, and agricultural productivity declines in drought-stressed regions.

The Solution

FarmSense FS-1 is a deterministic farming operating system that replaces intuition with ground-truth telemetry.

Core Value Proposition

Capability	FarmSense	Status Quo
Grid Resolution	**1-meter** satellite/sensor fusion	50-meter satellite only
Decision Basis	**Deterministic physics** (Kriging)	"Expert intuition"
Legal Admissibility	**Court-ready evidence**	Inadmissible estimates
Cost per Acre	**$15-30/acre**	$50-80/acre (estimated waste)

The "Resolution Pop" Revenue Model

Four tiers driving a **land-and-expand** strategy:

Tier	Resolution	Price	Target
FREE	50m	$0	Government / Compliance
BASIC	20m	$15/acre	Small Farmers
PRO	10m	$22/acre	Commercial Agriculture

Tier	Resolution	Price	Target
ENTERPRISE	1m	$30/acre	**Legal / ESG / Trading**

The **FOMO trigger**: When users zoom into anomalies, the UI blurs high-res data with "Unlock Proof" — converting technical curiosity into Enterprise upgrades during high-stress events (nozzle leaks, irrigation surges).

Market Opportunity

Immediate TAM: Subdistrict 1, Colorado

1,280 active pivots (~160,000 irrigated acres)

SaaS ARR at full penetration: **$7.6M/year** (Enterprise $30/acre)

Hardware CapEx (one-time): $1.4M (at scale)

Pilot validation: 2-field deployment with CSU SLV Research Center

Expansion Trajectory

Phase	Timeline	Geography	Target ARR
I: Pilot	Q2 2026	2 fields, CSU	Validation
II: Regulatory	Q4 2026	SD1 Colorado	$380K ARR
III: State Standard	2027	Colorado River Basin	$2.4M ARR
IV: National	2028	High Plains Aquifer	$12M ARR
V: Global	2029+	Trans-boundary basins	$50M+ ARR

Competitive Moat

Patent-pending interpolation physics — 1% ground truth enables 99% aquifer modeling

AllianceChain ledger — Immutable, court-admissible water rights documentation

LPI/LPD mesh — Stealth LoRa deployment resilient to detection/interference

Regulatory capture — "Presumed Compliant" workflow integration with DWR

Traction & Validation

Current Status (March 2026)

Software: Full ingestion pipeline + k-means Kriging engine operational

Pilot: CSU SLV Research Center (2 fields, 16-20 nodes) — **March 10, 2026**

Target: <5% Kriging error validation for Water Court admissibility

Institutional Support

CSU SLV Research Center — Deterministic sensor validation partnership

Rio Grande Water Conservation District — Institutional endorsement

Valley Green Co-op — Nutrient optimization pilot partnership

Regulatory Alignment

100% alignment with Colorado DWR Rule 12.0 requirements

Path to "Presumed Compliant" well status workflow (Q4 2026)

The Ask: Seed Round A-1

Element	Terms
Raise	$10,000,000
Valuation	$26,800,000 pre-money
Structure	Equity + Strategic Warrants
Use of Funds	Pilot scale → Regulatory capture → State standard

Use of Funds Breakdown

Category	Allocation	Purpose
Hardware Production	$3.5M (35%)	PMT, VFA, PFA manufacturing at scale
Software & Cloud	$2.0M (20%)	Core compute, security, compliance ledger
Pilot Expansion	$2.5M (25%)	2-field → 1280-field SD1 rollout
Regulatory & GTM	$1.5M (15%)	DWR integration, sales, partnerships
Operations	$0.5M (5%)	Team, facilities, admin

Investor Value Proposition

Commercial revenue: SaaS ARR scaling from $0 → $7.6M (SD1 alone)
Strategic upside: Dual-use positioning for inter-agency contracts
Defensible IP: Patent portfolio + regulatory moat
ESG alignment: Water conservation measurable at court-admissible fidelity

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Risk Mitigation

Risk	Mitigation
Pilot failure	CSU validation partnership; modular hardware allows rapid iteration
Regulatory rejection	100% DWR Rule 12.0 alignment; “Presumed Compliant” path cleared
Competition	Patent-pending interpolation physics; 4-year head start on deterministic agriculture
Hardware delays	10-year lifecycle design; seasonal insertion/extraction model minimizes downtime

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Contact

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